The Indian Corporate Governance framework requires listed companies

i) to have independent directors on the board; At least one third of the directors have to be independent directors.

ii) to have at least one independent woman director ,

iii) to disclose all deals and payments to related parties.

iv) to disclose details of managerial compensation

v) CEO and CFO to sign stating that the governance norms have been complied with in the financial statements.

It can thus be concluded that the presence of active governance norms in a company enhances the image of the company, increases investor confidence and safeguards the interests of the shareholders and the society. The new norms laid down in Companies Act 2013 by bringing in transparency in corporates have raised the governing standards of Indian companies as per International Standards.

19.05 GST Goods and Services Tax

GST is the indirect tax levied on goods and services across the country. It is a **comprehensive,** multi-stage, destination-based tax that is levied on every value addition.

There are 3 taxes applicable under this system.

i) **CGST:** Collected by the Central Government on an intra-state sale (Eg: transaction happening in TamilNadu)

ii) **SGST:** Collected by the State Government on an intra-state sale (Eg: transaction happening within TamilNadu)

iii) **IGST:** Collected by the Central Government for inter-state sale (Eg: Punjab to Tamil Nadu)

Goods & Services Tax Council is a constitutional body for making recommendations to the Union and State Government on issues related to Goods and Service Tax. The GST Council is chaired by the Union Finance Minister and other members are the Union State Minister of Revenue or Finance and Ministers in-charge of Finance or Taxation of all the States.

The Goods and Services Tax Council shall make recommendations to the Union and the States on

a. the taxes, cesses and surcharges levied by the Union, the States and the local bodies which may be subsumed in the goods and services tax

b. the goods and services that may be subjected to, or exempted from the goods and services tax

c. model Goods and Services Tax Laws, principles of levy, apportionment of Goods and Services Tax levied on supplies in the course of inter-State trade or commerce under article 269A and the principles that govern the place of supply

d. the threshold limit of turnover below which goods and services may be exempted from goods and services tax

e. the rates including floor rates with bands of goods and services tax

f. any special rate or rates for a specified period, to raise additional resources during any natural calamity or disaster

g. special provision with respect to the States of Arunachal Pradesh, Assam, Jammu and Kashmir, Manipur, Meghalaya, Mizoram, Nagaland, Sikkim, Tripura, Himachal Pradesh and Uttarakhand and

h. any other matter relating to the goods and services tax, as the Council may decide.

Purpose

At the Tata group we are committed to improving the quality of life of the communities we serve. We do this by striving for leadership

12th Commerce Unit 7.indd 160 09-12-2021 1.31.46 PM